THE LEEWARD

Boutique Hotel & Marina · Majuro Atoll, Republic of the Marshall Islands

28 Keys · New Construction · 99-Year Ground Lease

OFFERING MEMORANDUM

Prepared by Design Concepts Hawai'i · Confidential

February 2026

Contents

01 **Investment Summary**
Project overview, key metrics, and offering parameters

02 **Property Description**
Design concept, room mix, amenities, and development timeline

03 **Development Team**
DC Hawai‘i, DBK LLC, and key personnel

04 **Location Briefing**
Majuro Atoll, strategic position, and demand drivers

05 **Market Overview**
Pacific hospitality landscape, supply analysis, and ADB alignment

06 **Financial Overview**
10-year projections, capital structure, and returns analysis

Investment Summary

Key metrics and opportunity overview

$19.98M	28	$386	1.83x	9.3%
Total Development Cost	Keys	Blended ADR (Realistic)	DSCR (Year 5)	Cash-on-Cash (Y5)

Investment Highlights

- First institutional-quality boutique hotel in the Republic of the Marshall Islands — no direct competition in the luxury segment
- 99-year ground lease secured through established local partnership (Martin Daly & Ace Doulatram), providing long-term site control without land acquisition cost
- Captive demand from ADB, World Bank, UN agencies, US Embassy, and regional diplomatic missions — high-end clientele with limited alternatives
- Self-sufficient infrastructure design: on-site solar, desalination, and waste systems reduce operating risk and utility costs
- Owner-operated model eliminates third-party management fees, improving NOI margin to 38% at stabilization
- Aligned with RMI Sustainable Tourism Policy 2025–2030 targeting 35% GDP growth in the hospitality sector

Offering Parameters

Blended capital stack · $19.98M total development cost · DFC senior loan anchoring

Parameter	Conservative Scenario	Optimistic Scenario
Total Development Cost	$19,980,000	$19,980,000
DFC Senior Loan (40%)	$8,000,000	$8,000,000
Sponsor Equity (25%)	$5,000,000	$5,000,000
Additional Capital (35%)	$6,980,000	$6,980,000
	ADB, PIDB, Climate/Grant, RMI Incentives	ADB, PIDB, Climate/Grant, RMI Incentives
Blended ADR	$386	$494
Stabilized Occupancy (year 5)	65%	72%
NOI Margin	38%	43%
Year 5 Revenue	$4.30M	$6.91M
Year 5 NOI	$1.63M	$2.97M
DSCR (Year 5)	1.83x	3.33x
Cash-on-Cash (Year 5)	9.3%	26.0%
Year 10 Exit Equity	+$8.4M	+$33.0M
Yield on Cost	8.2%	14.9%

Blended capital stack: DFC senior loan (40%), sponsor equity (25%), ADB Wayfinder mezzanine (15%), PIDB (5%), climate/grant (5%), RMI incentives (10%).

Property Description

Design concept and development scope

The Leeward is a ground-up, 28-key boutique hotel and marina compound on Majuro Atoll — the capital and commercial center of the Republic of the Marshall Islands. The compound includes a boutique hotel, private marina, full-service restaurant, dive shop, pool, spa, market/café, upscale long-term apartments, and adjacent grounds for gardens, ground-mount solar PV, wind turbines, and maintenance facilities.

Guests arrive by boat from the airport to the property's private marina, setting the tone from the first moment. The compound operates independently from Majuro's unreliable grid through on-site solar with battery storage, rainwater harvesting, desalination, and integrated waste systems.

Property Type	New Construction Boutique Hotel + Partial Renovation
Total Keys	35 (28 hotel + 7 apartment units)
Land Tenure	99-Year Ground Lease
Construction	21 months (est. opening 2029)
Operator	Owner-Operated (no management fee)
Infrastructure	Self-sufficient: solar, desal, waste systems

Room Mix & Amenities

Four room categories serving the luxury and extended-stay market

Room Type	Keys	Realistic ADR	Optimistic ADR	Description
Presidential Suite	1	$900	$1,200	Premier lagoon-front suite with private terrace and balcony
VIP Suite	4	$550	$750	Expansive suites for senior officials and executives
Deluxe Room	15	$400	$500	Upscale rooms with lagoon or garden views
Standard Room	8	$300	$375	Comfortable rooms for professional travelers
Govt. Per Diem	*7*	*$152*	*$152*	*Anchor demand – U.S. govt. per diem rate; not included in hotel key count (Ace's building)*
Total / Blended	28	$386	$494	28 hotel keys + 7 keys (Ace's building)

Property Amenities

- Full-service restaurant & bar
- Private marina with boat transfers
- PADI dive shop & water sports center
- Wellness center & spa
- Pool facilities
- Event and meeting space
- Retail boutique
- Rooftop lounge with lagoon views
- On-site solar & desalination

Development Budget

Total project cost: $19.98M · $714K per key

Line Item	Amount	% of Total	Notes
Land / Lease Acquisition	$500,000	2.5%	Upfront deposit on 99-year ground lease
Hard Costs — New Construction	$9,500,000	47.5%	28 rooms + pool, spa, dive shop, café/market (~$340K/key)
Hard Costs — Renovation	$900,000	4.5%	Existing building renovations + marina improvements
Soft Costs (A/E, Permits)	$1,500,000	7.5%	~10% of hard costs — DC Hawai‘i design
FF&E	$1,680,000	8.4%	$60K/key — furniture, linens, kitchen equip.
Pre-Opening Expenses	$500,000	2.5%	Staff hiring, training, marketing launch
Shipping & Logistics Premium	$1,200,000	6.0%	Island import premium (30-50% uplift)
Working Capital Reserve	$600,000	3.0%	6 months operating runway
Developer Fee	$900,000	4.5%	~5% of total project cost
Contingency (15%)	$2,700,000	13.5%	Island construction buffer — critical
TOTAL	$19,980,000	100%	$714K per key

Contingency reflects the premium required for remote island construction logistics.

Development Team

Established Pacific expertise paired with local operational knowledge

Design Concepts Hawai‘i

Architect & Development Manager

Boutique architectural design firm on Kaua‘i specializing in high-end residential, resort, and community projects throughout the Pacific. Principal Santo Giorgio’s deep connection to the Hawaiian Islands made for a natural fit when he first arrived in the Marshalls with Martin Daly after sailing 2,000 miles from Kaua‘i. Portfolio spans custom estates, resort villas, and agricultural facilities with deep expertise in corrosive saltwater construction and remote island logistics.

Local Development Partner

Ground Lease Holders & Operations

Local development group led by Martin Daly and Ace Doulatram, with over 20 years of experience building and operating in the Marshall Islands. Established relationships across the region and deep understanding of the local regulatory environment, labor market, and supply chains. Holders of the 99-year ground lease that secures the development site.

The partnership combines American design standards and institutional investment discipline with on-the-ground operational knowledge and established local relationships.

Extended Team

Devin Swanson, PE — Civil engineer on Kaua‘i, recently commissioned by U.S. Army Corps of Engineers for Marshall Islands work. Jim Tribolet, PE — Licensed structural engineer with 30+ years practicing on Kaua‘i and the mainland.

Key Personnel

Martin Daly

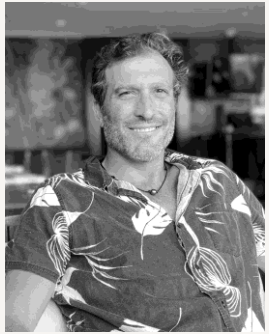
Owner, Beran Island Resort and Indiestrader

A world traveler who has called the Marshall Islands home for over two decades, Martin is the owner of Indies Trader and majority owner of Beran Island Resort. His firsthand experience building and operating in the Marshalls serves as both an invaluable asset and a living proof of concept for The Leeward. Together with his local partner Ace, Martin co-holds the marina land—anchoring the project with deep roots on the ground.

Ace Doulatram

Owner

Ace is the team's local presence in the Marshall Islands and the partner who made The Leeward possible. A co-holder of the marina land, his deep ties to the community—spanning government, business, and trades—give the project an on-the-ground advantage that cannot be replicated from afar. Beyond logistics, Ace brings a genuine eye for design and an unwavering commitment to seeing the vision through.



Santo Giorgio

Principal & Owner — Design Concepts Hawai'i

Santo is the Owner and Principal of Design Concepts Hawai'i, with over 20 years of experience leading residential, resort, and commercial projects across Hawai'i and abroad. His deep connection to the Hawaii and Marshall Islands—and a genuine passion for their people, culture, and landscapes—inspired him to assemble and lead the project team behind The Leeward.

Eric Einstein, RA

Registered Architect · Architect of Record

Eric serves as the Architect of Record at Design Concepts Hawaii, bringing a strong background in residential, multifamily, and mixed-use design across island and resort environments. With a Master of Architecture from Virginia Tech, his work is grounded in place-sensitive design and a deep understanding of building context. Eric oversees project documentation, code compliance, and design coordination—ensuring each project is delivered with precision and integrity from concept through construction.

Location Briefing

Majuro Atoll — Capital of the Republic of the Marshall Islands

Majuro is the capital, economic hub, and primary port of entry for the Republic of the Marshall Islands — a sovereign Pacific Island nation with a population of approximately 42,000. The atoll is home to 27,000 residents and serves as the seat of government, the center of diplomatic activity, and the base of operations for international development organizations.

The Marshall Islands maintains a Compact of Free Association with the United States, which provides economic support, defense, and unrestricted access for Marshallese citizens to live and work in the US. This relationship ensures a stable geopolitical environment and ongoing US investment in the region.

Population	~42,000 (RMI) · ~27,000 (Majuro)
Government	Parliamentary republic, Compact of Free Association with US
Currency	US Dollar
Access	United Airlines — Honolulu, Guam, and regional island hops
Time Zone	UTC+12
Climate	Tropical maritime, 80–85°F year-round

Strategic Pacific Position

A growing center of diplomatic and development activity

The Marshall Islands has become an increasingly important node in Pacific diplomacy and development. The US recently renewed its Compact of Free Association, committing $2.3 billion over 20 years. The Asian Development Bank, World Bank, and United Nations maintain active programs in the country. Japan, Australia, and Taiwan all operate diplomatic missions on Majuro. It serves as a central hub in travel to the entire nation – the only island with direct international flights to & from the USA.

Asian Development Bank

Active lending portfolio in RMI across infrastructure, climate resilience, energy, and private sector development.

World Bank / IFC

Programs in fisheries management, digital connectivity, and disaster risk management.

United Nations Agencies

UNDP, UNICEF, and regional bodies maintain programs in climate adaptation and social development.

US Embassy & Military

Permanent diplomatic presence. USAKA (Kwajalein) is a major US military installation in the Marshalls.

Taiwan & Japan

Both maintain embassies on Majuro with active aid and development programs.

Regional Organizations

Pacific Islands Forum, SPC, and other regional bodies hold regular convenings in Majuro.

Target Market & Demand Drivers

High-end clientele with limited alternatives on-island

Senior Diplomats & Government Officials — 30–35%

Ambassadors, cabinet-level officials, and senior staff from ADB, World Bank, UN, US Embassy, and allied nations visiting for policy meetings, program reviews, and bilateral engagements.

Development & Institutional Travelers — 25–30%

Program officers, consultants, and technical advisors from international development organizations — often on extended stays of 1–4 weeks.

Luxury & Dive Tourism — 20–25%

Affluent travelers drawn to the Marshall Islands' world-class diving, pristine lagoons, and remoteness. Bikini Atoll and other dive sites attract experienced divers globally.

Business & Regional Travelers — 15–20%

Private sector executives, maritime industry professionals, and regional visitors attending conferences or conducting business in the RMI capital.

Rate positioning reflects the high-end target market — not constrained by government per diem rates, which apply only to lower-level personnel on standard travel authorization.

Competitive Landscape

No institutional-quality accommodation exists on Majuro today

The current lodging supply on Majuro consists of a small number of dated motels and guesthouses — none meeting international standards for luxury or boutique hospitality. There is no branded hotel, no resort, and no accommodation that would satisfy the expectations of senior diplomats, development bank officials, or affluent leisure travelers. This represents a structural gap in the market, not a temporary one.

Property	Est. Keys	Rate Range	Quality Level	Notes
Marshall Islands Resort	~50	$100–150	Basic	Dated rooms, limited amenities
Robert Reimers Hotel	~25	$80–120	Budget	Central location, no resort facilities
Various Guesthouses	~20	$50–80	Basic	Limited services, shared facilities
The Leeward (Proposed)	28	$300–900	Luxury Boutique	First institutional-quality hotel on Majuro

Our Competitive Advantage

- Only property on Majuro with self-sufficient infrastructure (solar, desal, waste)
- Private marina with airport boat transfer — unique arrival experience
- Full-service F&B, dive center, spa, and event facilities under one roof
- Purpose-built for extended stays with kitchenette options and workspaces

Market Overview

Pacific Island hospitality — an emerging frontier

The Pacific Islands represent one of the last underserved hospitality markets globally. While Fiji, French Polynesia, and Palau have developed meaningful tourism infrastructure, Micronesia — and the Marshall Islands in particular — remains largely untouched by institutional capital and modern hospitality development. The RMI government has signaled its commitment to changing this through its Sustainable Tourism Policy 2025–2030.

RMI Sustainable Tourism Policy 2025–2030

- 35% GDP growth target in the tourism and hospitality sector
- 20% increase in registered tourism businesses
- Priority on sustainable, climate-resilient development
- Encouragement of private foreign investment in hospitality infrastructure
- Alignment with ADB and World Bank development frameworks

Demand drivers: diplomatic activity, climate adaptation programs, fisheries management, military presence (USAKA/Kwajalein), and growing interest from luxury dive tourism operators.

Supply Analysis & Regional Positioning

Benchmarking against comparable Pacific island properties

Destination	Top Property	Keys	ADR Range	Segment
Palau	Palau Pacific Resort	165	$250–450	Resort
Fiji	Six Senses Fiji	24	$1,200–3,000	Ultra-Luxury
French Polynesia	The Brando	35	$3,000–8,000	Ultra-Luxury
Samoa	Taumeasina Island Resort	55	$200–400	Upscale
Guam	Dusit Thani Guam	420	$200–350	Upscale
Majuro (Current)	Marshall Islands Resort	~50	$100–150	Basic
Majuro (Proposed)	The Leeward	28	$300–900	Luxury Boutique

The Leeward is positioned in the luxury boutique segment — above existing Micronesian supply but below ultra-luxury properties in Fiji and French Polynesia. The $386 blended ADR reflects the captive high-end demand and structural supply deficit on Majuro, not a speculative rate assumption.

Note: The Leeward is not competing with these regional properties for the same guests — its primary demand is institutional (diplomats, development workers) with leisure as secondary. The regional benchmarks demonstrate that Pacific island ADRs at $300–900 are well within established ranges.

Development Impact & ADB Alignment

How the project advances institutional development priorities

Economic Development

The Leeward will be among the largest private-sector developments in the Marshall Islands, creating 40–60 permanent jobs and generating indirect employment in construction, services, and supply chains.

Climate Resilience

Self-sufficient infrastructure (solar, desalination, waste systems) with land reclamation and elevated structures demonstrates resilient design appropriate for low-lying atoll nations. The property serves as a model for climate-adapted construction in the Pacific.

Local Employment & Training

Commitment to hiring and training Marshallese staff for all operational roles. Partnership with local educational institutions for hospitality training programs.

Tourism Sector Development

Directly aligned with RMI's Sustainable Tourism Policy 2025–2030. Establishes the precedent for institutional-quality hospitality investment in the Marshall Islands.

Infrastructure Improvement

Self-sufficient systems reduce pressure on Majuro's strained municipal utilities. Marine facilities improve waterfront access. Design standards raise the bar for future development.

ADB Strategic Alignment

The project addresses multiple ADB Strategy 2030 priorities: private sector development, climate and disaster resilience, livable cities, and strengthening governance through improved visitor infrastructure.

Financial Overview

10-year operating projection — Realistic scenario

	Year 1	Year 2	Year 3	Year 5	Year 7	Year 10
Occupancy	45%	55%	62%	65%	65%	65%
ADR	$386	$395	$405	$426	$447	$482
RevPAR	$174	$217	$251	$277	$291	$313
Room Revenue	$1.77M	$2.22M	$2.57M	$2.83M	$2.97M	$3.20M
Total Revenue	$2.70M	$3.38M	$3.90M	$4.30M	$4.52M	$4.86M
Operating Expenses	$1.67M	$2.09M	$2.42M	$2.67M	$2.80M	$3.02M
NOI	$1.02M	$1.28M	$1.48M	$1.63M	$1.72M	$1.85M
NOI Margin	38%	38%	38%	38%	38%	38%

Revenue Composition (Stabilized)

Room Revenue	**65.8%**
Food & Beverage (30% of Room Rev)	**19.7%**
Dive & Water Sports (10%)	**6.6%**
Spa & Wellness (6%)	**3.9%**
Events & Meeting Space (4%)	**2.6%**
Other Revenue (2%)	**1.3%**

Operating Expense Structure (62%)

F&B Department	**14%**
Rooms Department	**12%**
G&A	**7%**
Property Ops & Maint.	**6%**
Sales & Marketing	**5%**
Utilities	**5%**
Spa & Activities / FF&E Reserve	**8%**
Insurance / Ground Lease	**5%**

Capital Structure & Returns

Blended capital stack — DFC senior loan anchoring $19.98M development

Source	Amount	% Stack
Sponsor Equity	$5.00M	25%
DFC Senior Loan	$8.00M	40%
ADB Wayfinder	$3.00M	15%
PIDB / Climate-Grant	$2.00M	10%
RMI Gov. Incentives	$1.98M	10%

Returns Analysis — Conservative Scenario

$894K
Annual Debt Service

1.83x
DSCR (Year 5)

9.3%
Cash-on-Cash (Y5)

8.2%
Yield on Cost

10-Year Exit Analysis

Exit Cap Rate	**10%**
Year 10 NOI	**$1.85M**
Estimated Sale Price	**$18.48M**

Optimistic scenario (next page): DSCR 3.33x, Cash-on-Cash 26%, Exit equity +$33M.

Scenario Comparison

Realistic vs. Optimistic — key differentiators

Metric	Realistic	Optimistic	Driver
Blended ADR	$386	$494	Rate card positioning
Stabilized Occupancy	65%	72%	Market penetration
ADR Growth	2.5% / year	3.0% / year	Inflation + demand
F&B % of Room Rev	30%	40%	Restaurant concept
OpEx Ratio	62%	57%	Scale efficiencies
NOI Margin	38%	43%	Revenue mix + opex
Year 5 Revenue	$4.30M	$6.91M	ADR × Occ × Ancillary
Year 5 NOI	$1.63M	$2.97M	Revenue − OpEx
DSCR (Year 5)	1.83x	3.33x	NOI / Debt Service
Cash-on-Cash (Y5)	9.3%	26.0%	(NOI − Debt) / Equity
Exit Cap Rate	10.0%	8.0%	Market maturity
Net Exit Equity	+$8.4M	+$33.0M	Sale − Loan Balance

The Realistic scenario represents a conservative base case — achievable with moderate market penetration and standard operating efficiency. The Optimistic scenario reflects the upside potential if the property establishes itself as the definitive luxury destination in the Marshall Islands.

THE LEEWARD

Boutique Hotel & Marina · Majuro Atoll, Marshall Islands

Confidentiality Notice

This Offering Memorandum has been prepared by Design Concepts Hawai‘i on behalf of the development partnership for informational purposes only. The information contained herein is confidential and proprietary. By accepting this document, the recipient agrees not to reproduce, distribute, or disclose any of its contents without the prior written consent of the authors. This document does not constitute an offer to sell or a solicitation of an offer to buy any securities or interests.

Contact

Design Concepts Hawai‘i
Eric Einstein, RA · Architect of Record
dc@dchawaii.com · 808-828-0160
www.DCHawaii.com

February 2026